

Interview Feedback

Brew & Bean Profitability · 2026-10-05 · Overall: adequate

Top improvement

Practice opening every profitability case independently with a 30-second structure: restate the objective, split profit into revenue (price × volume, mix) and costs (COGS, labor, overhead), then state a hypothesis about which bucket holds the answer. Here you needed three escalating hints and a directive rescue before you could begin, even though your later analysis was strong.

Rubric Scores

Problem Structuring

needs work

What needs work

The candidate could not produce any framework at the opening, even the basic profit = revenue − costs split, across five turns of prompting.

“I’m stuck, sorry. I don’t really know where to start.”

“I guess... revenue or something else? I really don’t know.”

Once the interviewer handed over the cost branch and supplied the data, the candidate quickly identified which bucket held the problem, but reaching the cost side was not independent: the candidate only tentatively got to ‘expenses’ and needed a Level 3 rescue.

“hmm, I want to say expenses? But I’m not sure how that helps.”

“So most of the margin drop is coming from COGS.”

The candidate never restated the objective or offered a hypothesis about where the answer lives before seeing data.

“I’m not sure what you mean — do you want me to guess why profits went down?”

Missed opportunities

Turn 0–1: the interviewer asked how the candidate would structure the profit decline, given that revenue grew 15% while margin fell from 24% to 6%.

A great answer: “Our goal is to find why margin fell 18 points despite 15% revenue growth, and how to reverse it. Profit is revenue minus costs. On revenue, I’d look at price vs. volume and mix — have menu prices kept pace? On costs, I’d split COGS, labor, and overhead/rent. Since revenue grew, I’d hypothesize the problem is on the cost side, most likely COGS from commodity inflation, so I’d start there. I’d also check whether competitors are seeing the same squeeze, which tells us how much pricing power we have.”

Quantitative & Analytical Rigor

adequate

What went well

The candidate tied the math back to the full 18-point margin drop.

“That 16 plus the 2 points of overhead is about 18, which is the whole 24% to 6% drop.”

What needs work

The candidate first asserted that a 10% price rise with a 10% volume loss would roughly break even, conflating revenue with profit. Only after the interviewer probed did the candidate rebuild the P&L correctly, treating COGS as variable and labor/overhead as fixed, and arrive at ~10.8 points of profit.

“If we lost, say, 10% of transactions, we’d roughly break even on revenue and the fixed costs would still hurt us.”

“Total costs = 88.2. Profit = 99 − 88.2 = 10.8 points.”

The candidate asserted the ‘mid-teens’ recovery figure without deriving it and showed the math only when asked.

“Roughly, pushing through enough price to recover even half the 16 points would put margin back in the mid-teens.”

The candidate’s first pass stopped at a percentage of COGS and needed an interviewer push to convert to points of revenue; after that, the candidate decomposed the COGS increase cleanly (10.5 / 31.5 points) and reconciled it to the given 58%.

“If that 75% went up 37.5%, that’s $0.75 \times 37.5\% = \text{about } 28\%$ increase in COGS on its own, holding beans flat.”

“Let me do it in points of revenue. Old COGS was 42 points.”

“Total new COGS = 14.7 + 43.3 = 58 points, which matches the 58% you gave me.”

Missed opportunities

Turn 29: the interviewer asked how a volume loss would change the recommendation.

A great answer: "Let me build it from 100 of revenue: COGS 58, labor 22, overhead 14. Price +10% and volume 10% gives revenue of 99. COGS scales with volume, so 52.2; fixed costs stay at 36; profit is about 10.8. Break-even volume loss is where $110 \times (1 - x) - 58 \times (1 - x) - 36 = 0$, so $52 \times (1 - x) = 42$ and $x = 19\%$. We can lose nearly a fifth of transactions before the price move hurts profit."

Data & Exhibit Interpretation

strong

What went well

The candidate isolated COGS as the driver with specific magnitudes and did not stop at beans. The candidate split beans (~4 points) from other inputs (~12 points).

"COGS moved the most — it went from 42% to 58%, so that's 16 points of revenue."

"So the increase is about 16 points of revenue, with roughly 12 from other inputs and 4 from beans."

The candidate read the time-series exhibit systematically and drew a clear so-what: steady erosion, no price pass-through, and a negative margin if the trend continues.

"It's a steady slide, not a one-time shock."

"If it continues at this pace, profit goes negative next year."

The candidate proposed relevant next steps (what is inside COGS and whether prices moved), but the turn 21 exhibit read itself ended without an explicit next step such as which inputs to attack or how to test pricing power.

"I guess what's actually inside COGS? Like coffee beans versus milk versus cups — is there a breakdown of that line? And did our menu prices change at all over the two years?"

"I'd still want to know what beans did over the same period, since that's the other quarter."

"Main insight is that essentially all of the damage is COGS, and it's been happening consistently rather than suddenly."

Missed opportunities

Turn 21: after reading the cost-structure exhibit.

A great answer: "Since ~12 of the 16 COGS points come from dairy, packaging and food rather than beans, a bean-only hedge won't fix this. Next I'd check which of those inputs rose most and whether peers raised prices, which tells us how much pricing room we have."

Business Judgment & Insight

adequate

What went well

The candidate surfaced realistic risks, including the competitive context, and proposed a pilot as mitigation.

"Risks: specialty coffee customers may be price sensitive, and volume could drop. Also competitors may not have raised prices."

The candidate interpreted the ticket-size data correctly as mix rather than price, so there had been no pass-through.

"the \$6.20 to \$6.80 came from more items per visit, not price, so none of that was pass-through."

What needs work

The candidate softened the recommendation based on a mistaken break-even assumption before checking the math, which shows a judgment call driven by an unverified figure.

"So I'd soften the recommendation — pilot it in a few markets rather than rolling out chain-wide, and start supplier renegotiation at the same time rather than treating it as the slower backup."

The candidate made the commercially sound call to lead with pricing, given two years of flat prices, and justified it on speed and scale. However, it was framed as a blanket increase rather than targeted where demand is least elastic (e.g., specialty items or certain locations) to limit volume risk.

"My recommendation is to raise menu prices first."

"A price increase is the only lever that acts fast and scales across all 200 locations — supplier renegotiation takes months and menu reengineering takes longer."

At the opening, the candidate showed no commercial intuition about where a margin squeeze despite revenue growth would come from.

"hmm... revenue and profit? I'm not sure, sorry."

Missed opportunities

Turn 25: when recommending the price increase.

A great answer: "I'd raise prices selectively, around 8–12% on specialty drinks where customers are least price-sensitive, and smaller on staples. That recovers margin while limiting traffic loss."

Creativity & Brainstorming

adequate

What needs work

The candidate went slightly beyond plain price and procurement with a menu-mix and portion lever, but the ideas overall stayed conventional (price, supplier contracts, menu mix, overhead), with no genuinely non-obvious lever.

“And overhead is drifting up 1 point a year, which is smaller but worth a look.”

“They could also look at the menu itself — push items that use less of the expensive inputs, or adjust portion sizes.”

The candidate grouped ideas into revenue-side and cost-side levers covering several distinct moves, but did not prioritize them until the interviewer explicitly asked.

“My recommendation is to raise menu prices first.”

“I’ll try to group them. On the revenue side, the obvious one is raising menu prices, since they haven’t moved in two years while inputs went up almost 40%.”

“With 200 locations they probably have some buying power.”

Missed opportunities

Turn 23: brainstorming ways to reverse the decline.

A great answer: “I’ll split this into pricing, procurement, and offering. Pricing: tiered increases by SKU and location, plus premium add-ons. Procurement: group-buy dairy and packaging, and multi-year bean contracts. Offering: a lower-cost house blend for value-focused stores, and loyalty bundles that raise items per visit. I’d prioritize pricing first for speed, then procurement for durability.”

Synthesis & Recommendation

strong

What went well

The candidate gave an answer-first recommendation with a speed/scale rationale, but it included an unsupported ‘mid-teens’ figure that had to be justified afterward; a strong synthesis presents only sized figures.

“My recommendation is to raise menu prices first.”

“The reason is sizing. COGS went from 42 to 58 points of revenue, and prices haven’t moved in two years, so the company absorbed all of it.”

“Roughly, pushing through enough price to recover even half the 16 points would put margin back in the mid-teens.”

The candidate named the key risks and concrete next steps concisely.

“Risks: specialty coffee customers may be price sensitive, and volume could drop. Also competitors may not have raised prices.”

“Next steps: test an increase in a handful of markets and watch transaction volume — do we have transaction counts by store?”

The candidate delivered a crisp mini-synthesis after the analysis segment.

“That 16 plus the 2 points of overhead is about 18, which is the whole 24% to 6% drop.”

Missed opportunities

Turn 25: the final recommendation.

A great answer: “Raise prices roughly 10%, led by specialty items: costs are 94 points today, so a 10% increase with flat volume takes margin to ~14–15%, and even a 10% traffic loss still yields ~11%. In parallel, renegotiate dairy, packaging and bean supply, since non-bean inputs drove ~12 of the 16 points. Key risk is elasticity, so pilot in a few markets first.”

Communication & Delivery

adequate

What went well

The candidate built on interviewer cues, for example using the ticket data and reframing after the challenge.

“Let me actually redo it, I think I conflated revenue and profit.”

What needs work

From the cost data onward, the candidate answered top-down and narrated method before detail, but the opening was hesitant and filler-heavy across several turns, with no structure narrated.

“hmm, I’m not sure. What kind of areas do you mean?”

“hmm... revenue and profit? I’m not sure, sorry.”

“COGS moved the most — it went from 42% to 58%, so that’s 16 points of revenue.”

“Let me do it in points of revenue. Old COGS was 42 points.”

The candidate used little hypothesis-driven phrasing. Even good ideas were framed tentatively.

“I guess what’s actually inside COGS? Like coffee beans versus milk versus cups — is there a breakdown of that line? And did our menu prices change at all over the two years?”

Missed opportunities

Turn 3: unsure what ‘areas’ meant.

A great answer: “Let me make sure I understand the goal: find why margin fell from 24% to 6% while revenue grew. Can I take 30 seconds to lay out a structure?”

What needs work

In later stages the candidate proactively asked for relevant data and proposed next steps, but at the opening the candidate was passive and needed Level 1–3 assists, including a handed-over cost branch, so early case leadership was absent.

"I'm stuck, sorry. I don't really know where to start."

"I guess... revenue or something else? I really don't know."

"Next steps: test an increase in a handful of markets and watch transaction volume — do we have transaction counts by store?"

On the first volume challenge, the candidate shifted the recommendation on an unchecked claim rather than testing it. Once challenged on the break-even figure, the candidate owned the error without defensiveness, recomputed, and updated the position with explicit reasoning.

"So I'd soften the recommendation — pilot it in a few markets rather than rolling out chain-wide, and start supplier renegotiation at the same time rather than treating it as the slower backup."

"So profit actually improves from 6 to about 11, not break-even. My earlier claim was wrong — I was looking at revenue and assuming profit followed."

Missed opportunities

Turn 28: the interviewer challenged the no-volume-loss assumption.

A great answer: "Good challenge — let me size it rather than guess. With COGS variable and labor/overhead fixed, a 10% price rise only loses money if volume falls more than about 19%. So I'd hold the recommendation, pilot to measure elasticity, and set a traffic-loss threshold for rollout."

Model Answer

Structure

Strong structure disaggregates profit = revenue – costs, then breaks revenue into volume × price and costs into COGS / labor / overhead / other. The candidate should hypothesize which bucket is the driver before asking for data. Bonus: asks about competitive context (are peers also seeing this?) and pricing power.

Recommendation

Primary recommendation: raise menu prices, which have not changed in two years while input costs rose about 38% — selectively, by 8–12% on high-margin specialty SKUs where demand is less elastic. Pair it with procurement across all inputs, not just beans: multi-year bean supply contracts plus renegotiated dairy and packaging supply, since beans explain only about a quarter of the COGS increase. Secondary: pilot a lower-cost 'commodity blend' for budget-conscious locations. Do not recommend blanket cost cuts — labor and overhead are already lean.

Full Transcript

Interviewer · 0:00

Your client is Brew & Bean, a specialty coffee chain with 200 locations across the US. Over the past two years, their net profit margin has declined from 24% to 6%, even though revenues have grown 15% over the same period. The CEO has hired us to identify the root cause of this profit decline and recommend how to reverse it. How would you approach this problem?

Take a minute if you need it, then tell me how you'd structure your approach.

Candidate · 0:33

I'm not sure what you mean — do you want me to guess why profits went down?

Interviewer · 0:36

No guessing. I'd like you to lay out how you would structure the problem, meaning the areas you would investigate and why. Take a minute if you need it, and you can also ask me clarifying questions first.

Candidate · 1:16

hmm, I'm not sure. What kind of areas do you mean?

Interviewer · 1:18

Take your time. The question on the table is how you would break this profit decline into parts so you can find the root cause. Walk me through how you'd organize your investigation.

Candidate · 1:57

I'm stuck, sorry. I don't really know where to start.

Interviewer · 1:59

That's okay. Start from the one thing we know: profit fell while revenue grew. What basic pieces make up profit, and which of them would you want to look at first?

Candidate · 2:22

hmm... revenue and profit? I'm not sure, sorry.

Interviewer · 2:24

Let's simplify. Profit is what's left after something comes out of revenue. What are the two ways a profit margin can fall?

Candidate · 2:58

I guess... revenue or something else? I really don't know.

Interviewer · 3:00

Okay. You've got revenue as one piece, so revenue is a good place to start. What is the other piece, the thing that gets subtracted from revenue to leave profit?

Candidate · 3:17

hmm, I want to say expenses? But I'm not sure how that helps.

Interviewer · 3:20

Yes, expenses. Revenue has grown, so the pressure is on the cost side, and that's where we'll look. Here's the cost data. COGS is 58% of revenue today, up from 42% two years ago. Labor is 22% of revenue, and it's been stable. Overhead is 14% of revenue, up slightly from 12%. Which of these costs moved the most?

Candidate · 3:54

COGS moved the most — it went from 42% to 58%, so that's 16 points of revenue. Labor didn't move at all, and overhead only went up 2 points. So most of the margin drop is coming from COGS.

Interviewer · 3:55

Okay. COGS is the biggest mover, so what would you want to know next to understand why it rose?

Candidate · 4:25

I guess what's actually inside COGS? Like coffee beans versus milk versus cups — is there a breakdown of that line? And did our menu prices change at all over the two years?

Interviewer · 4:27

Coffee beans were 25% of COGS two years ago. Other input costs — dairy, packaging, and food — are up 37.5% over the past two years. Menu prices have not changed in two years. Which of these would you quantify first to explain the COGS increase, and how would you do it?

Candidate · 5:26

I'd probably start with the "other inputs" since they're the bigger share — 75% of COGS versus 25% for beans. If that 75% went up 37.5%, that's $0.75 \times 37.5\% =$ about 28% increase in COGS on its own, holding beans flat.

And since prices never changed, none of that got passed to customers, so it all hits the margin.

I'd still want to know what beans did over the same period, since that's the other quarter.

Interviewer · 5:29

Walk me through the translation from that 28% to the margin. COGS was 42% of revenue two years ago, and 28% is a share of COGS. You asked about that — Raw coffee bean costs are up 40% over the past two years. How many points of revenue does it represent?

Candidate · 6:47

Let me do it in points of revenue. Old COGS was 42 points. Beans were 25% of that, so 10.5 points, and other inputs 75%, so 31.5 points.

Beans up 40%: $10.5 \times 1.4 = 14.7$, so +4.2 points.

Other inputs up 37.5%: $31.5 \times 1.375 = 43.3$, so +11.8 points.

Total new COGS = $14.7 + 43.3 = 58$ points, which matches the 58% you gave me. So the increase is about 16 points of revenue, with roughly 12 from other inputs and 4 from beans.

That 16 plus the 2 points of overhead is about 18, which is the whole 24% to 6% drop.

Interviewer · 6:50

Okay. Here's the cost structure over time. What does it tell you, and what's the main insight you'd take from it?

[\[Exhibit shown: Brew & Bean Cost Structure Over Time\]](#)

Candidate · 8:06

It's a steady slide, not a one-time shock. COGS goes 42 to 50 to 58, so about 8 points a year, two years running. Labor is flat at 22 the whole time, overhead creeps up 1 point a year, and profit falls 24 to 15 to 6, which is roughly 9 points a year.

Main insight is that essentially all of the damage is COGS, and it's been happening consistently rather than suddenly. And with menu prices unchanged for two years, the company has absorbed every bit of that input inflation itself. If it continues at this pace, profit goes negative next year.

Interviewer · 8:08

Understood. Beyond what we've discussed, what else could Brew & Bean do to reverse this decline? Give me your ideas in an organized way.

Candidate · 9:38

I'll try to group them. On the revenue side, the obvious one is raising menu prices, since they haven't moved in two years while inputs went up almost 40%. Even a modest increase passes some of that through.

On the cost side, they could renegotiate supplier contracts or lock in longer-term pricing on beans and dairy so they're not exposed to every swing. With 200 locations they probably have some buying power.

They could also look at the menu itself — push items that use less of the expensive inputs, or adjust portion sizes.

And overhead is drifting up 1 point a year, which is smaller but worth a look.

I'd want to know how price-sensitive their customers are before recommending a big price increase, though.

Interviewer · 9:41

Okay. Of the ideas you've grouped, which would you prioritize first, and why? Give me your recommendation to the CEO.

Candidate · 11:12

My recommendation is to raise menu prices first.

The reason is sizing. COGS went from 42 to 58 points of revenue, and prices haven't moved in two years, so the company absorbed all of it. A price increase is the only lever that acts fast and scales across all 200 locations — supplier renegotiation takes months and menu reengineering takes longer. Roughly, pushing through enough price to recover even half the 16 points would put margin back in the mid-teens.

Risks: specialty coffee customers may be price sensitive, and volume could drop. Also competitors may not have raised prices.

Next steps: test an increase in a handful of markets and watch transaction volume — do we have transaction counts by store? Then start supplier negotiations in parallel, since that's slower but durable.

Interviewer · 11:14

You said recovering half the 16 points would put margin back in the mid-teens. Walk me through that. Then tell me how a price increase actually gets you there. The average transaction is \$6.80, up from \$6.20 two years ago — about a 10% increase, because customers are buying more items per visit. I don't have data on that.

Candidate · 12:44

Half of 16 is 8 points, and current margin is 6, so $6 + 8 = 14$, which is what I meant by mid-teens.

On how a price increase gets there — it's actually a bit different from just subtracting costs. If costs stay flat in dollars and I raise prices, revenue goes up and the cost lines shrink as a percentage. Costs today are 94 points. If I raised prices 10% with no volume loss, costs become $94/1.10 \approx 85$ points of the new revenue, so margin goes to about 15%. That's roughly the same answer.

And the ticket data is useful — the \$6.20 to \$6.80 came from more items per visit, not price, so none of that was pass-through. It also suggests customers are willing to spend more, which is mildly encouraging for a price move.

Interviewer · 12:47

Okay. Your own sizing assumes no volume loss, and the data says nothing about how customers respond to price. If a 10% increase did cost you transactions, how would that change your recommendation?

Candidate · 14:17

It would depend on how much volume we lost. Rough logic: at 10% higher prices, if volume fell a lot, revenue could end up flat or down, and COGS is variable so it falls with volume too — but labor and overhead are partly fixed, so those would get worse as a percent of revenue.

Quick sense of it: gross margin today is only about 42 cents on the dollar after COGS, so we don't have much cushion. If we lost, say, 10% of transactions, we'd roughly break even on revenue and the fixed costs would still hurt us.

So I'd soften the recommendation — pilot it in a few markets rather than rolling out chain-wide, and start supplier renegotiation at the same time rather than treating it as the slower backup.

Interviewer · 14:20

Walk me through that break-even claim. If prices rise 10% and transactions fall 10%, how do you get to roughly breaking even on profit, not just revenue?

Candidate · 15:50

Let me actually redo it, I think I conflated revenue and profit.

Start at 100 of revenue: COGS 58, labor 22, overhead 14, profit 6.

Price +10%, volume -10%: revenue = $100 \times 1.1 \times 0.9 = 99$, so basically flat, that part was right.

COGS is variable, so it moves with volume, not price: $58 \times 0.9 = 52.2$. Labor and overhead I'm treating as fixed, so still 36.

Total costs = 88.2. Profit = $99 - 88.2 = 10.8$ points.

So profit actually improves from 6 to about 11, not break-even. My earlier claim was wrong — I was looking at revenue and assuming profit followed. The reason it holds up is that the price increase is pure margin while the volume loss only takes variable cost with it.

That makes me more comfortable with the price move, though I'd still pilot it.

Interviewer · 15:53

We'll stop there. Thanks for working through the case — your written report will follow.